

The Real British Beer Economy

How Much Barley Does Britain Need to Grow for Its Beer?

1. Total Beer Consumption in Britain

Recent UK beer sales are approximately:

44.5 million hectolitres per year

(2023 estimate)

A hectolitre = 100 litres.

Therefore:

$44.5 \text{ million} \times 100$

=

4.45 billion litres of beer per year

2. Average Beer Consumption Per Person

UK population:

$\approx 68 \text{ million people}$

Therefore:

$4.45 \text{ billion litres} \div 68 \text{ million people}$

=

65 litres of beer per person per year

This is the **whole population average**.

But this includes:

- children
- non-drinkers
- people who never drink beer

Around 20–25% of adults report not drinking alcohol, meaning the drinking population is smaller.

3. Average Beer Consumption Among Beer Drinkers

Assume:

68 million population

Adults:

≈ 53 million

Alcohol drinkers:

≈ 40–42 million

If around 4.45 billion litres are consumed by 40 million drinkers:

$4.45\text{bn} \div 40\text{m}$

=

111 litres per drinking adult per year

That equals:

195 pints per year

or:

3.7 pints per week

for the average beer-drinking adult.

4. How Much Barley Does This Require?

Beer production requires malted barley.

A reasonable industrial assumption:

1 tonne of barley produces approximately 4,000 litres of beer

Therefore:

$4.45\text{ billion litres} \div 4,000$

=

1.1 million tonnes of barley

required annually.

5. Land Requirement

UK barley yields:

Approximately:

6 tonnes per hectare

Therefore:

$1.1 \text{ million tonnes} \div 6 \text{ tonnes/hectare}$

=

183,000 hectares

of barley.

6. How Much Is That Compared With Britain?

UK agricultural land:

≈18 million hectares

Beer barley requirement:

≈183,000 hectares

Therefore:

Beer requires roughly 1% of British farmland

7. A Midlands Beer Strategy

This is where it becomes economically interesting.

The Midlands and East Anglia already contain:

- arable farms
- malting infrastructure
- food manufacturing

- transport networks
- major population centres

A "Midlands Beer Corridor" could integrate:

Lincolnshire / East Anglia

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Barley Farming

↓

Regional Malt Houses

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Breweries

↓

Leicester / Birmingham Distribution

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Export Markets

8. The Marginal Cost Question

The interesting economic question is:

If Britain dramatically increased barley production, would beer become cheaper?

The answer is: **only partially.**

Barley is a relatively small proportion of the final price of beer.

A pint costing £5 in a pub includes:

- pub labour
- rent
- energy
- tax
- logistics
- margins

The grain cost might only be a small fraction.

However, cheaper domestic barley could reduce:

- brewery input costs
 - import exposure
 - malt prices
 - supply-chain risk
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9. The Bigger Opportunity: Move Up the Value Chain

Raw barley:

£150–£200 per tonne

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Malted barley:

£300–£500 per tonne equivalent

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Beer production:

Thousands of pounds of finished product value

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Premium export brand:

Much higher value

10. Export Opportunity

The opportunity is not:

"Britain grows cheap barley."

The opportunity is:

"Britain converts cheap agricultural inputs into premium branded products."

Examples:

- British craft lager
- Midlands pale ale
- Yorkshire bitter
- Lincolnshire farmhouse beer
- premium export cans

Potential markets:

- USA
 - Japan
 - Australia
 - Middle East
 - Europe
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Comparison With Walkers Crisps

Product	Annual raw material requirement
Walkers Crisps	~290,000 tonnes potatoes
UK Beer	~1.1 million tonnes barley
Beer requires:	

around 4× more agricultural raw material

than Walkers' potato supply chain.

But both demonstrate the same economic principle:

Agriculture is the beginning of an industrial supply chain, not the end product.

Strategic Investment Thesis

A long-term British food-industrial strategy could combine:

Lincolnshire

- potatoes
- barley
- vegetables

Leicester

- crisps
- food manufacturing

Nottinghamshire

- cereals
- malting

Birmingham

- distribution
- consumer market

Creating:

The Midlands Food & Beverage Industrial Cluster

The highest returns would not come from owning farmland alone.

They would come from owning:

- storage
- processing
- manufacturing
- brands
- logistics
- export channels

The potato becomes a crisp.

The barley becomes a beer.

The agricultural commodity becomes an industrial asset.